The UPI (Unified Payments Interface) platform created by the NPCI (National Payments Corporation of India) revolutionized the payment space. All the accounts in banks became digital accounts after every bank had computerized and brought in core banking solutions to put every bank account in cyberspace. NPCI linked all these 40 crore plus accounts into one single database—as if all the bank accounts of hundreds of banks were in the digital ledger of one single bank. UPI succeeded because technology companies created an interface between smartphones/computers with bank accounts using appropriate application programming interfaces (APIs), compatible with NPCI and the banks' technology system. The technology interface has made deposits in bank accounts mobile, capable of dancing down from one account to another at the behest of the deposit holder. While digital payments, largely enabled with the introduction of technology, have grown spectacularly and are expected to maintain this breakneck speed of growth, more than 80 per cent payments still remain non-digital or cash payments. This is because currency is not digital.

The first policy imperative in the payment space is to digitize currency. Most central banks are mulling over the creation of blockchain and cryptography-based central bank digital currency in retail and wholesale currency formats. However, these moves/experimentations are unlikely to succeed in replacing physical currency. Small currency users are unlikely to be interested to come on the blockchain-based retail cryptocurrency platforms. Nor would they find it cost- and time-effective. For large players, even otherwise, it makes no difference. These players already make their payments digitally using the deposits in their bank accounts. The most feasible solution to transform the bulk of physical currency into digital currency would be to dematerialize (demat) currency notes and allow people to hold demat currency in digital wallets. A technological system can be developed with appropriate interfaces with own, suppliers', third-party